

IN THE SENATE

SENATE BILL NO. 1223

BY RESOURCES AND ENVIRONMENT COMMITTEE

AN ACT

RELATING TO WATER DISTRICTS; AMENDING SECTION 42-612, IDAHO CODE, TO REVISE PROVISIONS REGARDING WATER DISTRICT BUDGETS AND TO PROVIDE THAT WATER USERS MAY AUTHORIZE A WATER DISTRICT TO CHARGE A FIXED FEE TO COVER ADMINISTRATIVE COSTS ASSOCIATED WITH PROPERTY OWNERSHIP TRANSFERS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 42-612, Idaho Code, be, and the same is hereby amended to read as follows:

42-612. PROPOSED WATER DISTRICT BUDGET FOR SUCCEEDING YEAR -- ADOPTION AND CONTENTS OF BUDGET -- DEBT OF WATER USER. (1) Each watermaster shall, at least fourteen (14) days prior to the annual meeting of the water users of the water district, prepare a proposed budget for the succeeding year, together with a distribution of the pro rata amounts of the budget assessed to the respective water users or water delivery organizations using the actual volume of water delivered for the past season or seasons. The proposed budget and distribution of pro rata assessments shall be presented to the water users for consideration and approval at the next annual meeting.

(2) At any annual meeting, the water users ~~must~~ shall adopt a budget covering the estimated expenses of delivering the water of the district for the ~~ensuing~~ succeeding year and shall, by resolution, determine that how the moneys composing the budget shall be collected. The compensation of the watermaster and the watermaster's assistants and any other expenses of delivering the water of the district to the users thereof, including the costs of the advisory committee in implementing resolutions adopted by the water users of the district for activities other than the payment of the salary and operating expenses of the watermaster and assistants, shall be paid in the manner ~~hereinafter, in this section,~~ provided for by this section.

(3) To the extent possible, funding for advisory committee expenses associated with implementing resolutions adopted by the water users for activities other than the payment of the salary and operating expenses of the watermaster and assistants shall come from funds available pursuant to section 42-613A, Idaho Code. If funds available pursuant to section 42-613A, Idaho Code, are not sufficient to cover expenses incurred in implementing resolutions adopted by the water users, then such expenses shall come from assessments.

(4) The budget shall show the aggregate amount to be collected from all the water users in the district and the amount to be paid by each water delivery organization or other water user. For the purpose of computing the respective amounts to be paid by each water user, the actual volume of water delivered to each water delivery organization or other water user during the past season or seasons, not exceeding five (5) seasons, shall be used as a ba-

sis. If a right has not previously been assessed or if past season delivery records are not available, the watermaster may, by resolution of the water users, estimate the volume of water delivered or reasonably used when water was available under the priority of the right during the past season or seasons. Notwithstanding other provisions of this section, if a water delivery organization or water user diverts water pursuant to a valid water right from a natural waterway that is regulated and assessed by one water district, and that water is then conveyed through and rediverted from a different natural waterway pursuant to section 42-105(1), Idaho Code, that is regulated by a second water district, the second water district may, by resolution of the water users, charge a fee instead of an assessment for the water that is rediverted sufficient to pay the costs and expenses for watermaster services for data collection, water measurement, conveyance of water, and record keeping directly attributable to the conveyance of the water that is rediverted. A fee charged pursuant to this subsection is not an assessment. A water delivery organization or a water user that is charged a fee is not eligible to vote at an annual water district meeting as set forth in section 42-605, Idaho Code, unless the water delivery organization or water user holds other water rights that are assessed by the water district and voting is based upon those assessed water rights.

(5) Upon the adoption of the budget, the amount payable by each water delivery organization or other water user, as shown by the budget, shall become the debt of each respectively and shall become due and payable as hereinafter provided. Other provisions of chapter 6, title 42, Idaho Code, notwithstanding, water users may at the annual meeting by resolution provide for an annual minimum charge not to exceed two hundred fifty dollars (\$250) per water user for watermaster services. The minimum charge is applicable whenever the prorated charge against any water delivery organization or other water user is less than the minimum charge.

(6) At the annual meeting, water users may, by resolution, authorize the water district to charge a fixed fee, the amount of which shall be set in the resolution, to be used exclusively to cover administrative costs associated with collaborating with title companies during property ownership transfers. Such collaboration may include but is not limited to notifying title companies of outstanding balances, confirming payment receipts, and transferring relevant water right documentation between the water district and the title company.

~~(6)~~ (7) Other provisions of chapter 6, title 42, Idaho Code, notwithstanding, water users at the annual meeting may provide, by resolution, that the respective amounts owed by each water user as shown in the adopted budget shall constitute a final determination of the amount due for that year without the need to carry forward any water user debits or credits to the following year.

SECTION 2. An emergency existing therefor, which emergency is hereby declared to exist, this act shall be in full force and effect on and after July 1, 2026.